EXECUTIVE SUMMARY

A. Introduction:

Tuguegarao City was originally created on May 1604 as a "mission pueblo". There is no record available regarding the law creating it as a municipality. By virtue of Republic Act No. 8755, "An act converting the Municipality of Tuguegarao, Cagayan Province into a component city to be known as Tuguegarao City", Cagayan's first city was created. R.A. No. 8755 was approved on November 4, 1999 and ratified on December 18, 1999.

Financial, compliance and value for money audit were conducted on the accounts and operations of the LGU-Tuguegarao City for the calendar year 2014. The audit objectives were to ascertain the propriety of the disbursements, the reliability of the financial reports, the adequacy of accounting records, compliance with laws, rules and regulations as well as adherence to prescribed policies and procedures. Likewise, the audit was conducted to determine whether plans, programs, activities and projects for the year were attained at an efficient, economic and effective manner.

B. Financial Highlights:

The financial condition and results of operations of LGU-Tuguegarao City for CY 2014 with comparative figures for CY 2013 are as follows:

	2014	2013	Increase/ Decrease
Assets	P 2,497,191,811.68	P 2,315,510,162.36	P 181,681,649.32
Liabilities	978,319,119.53	981,419,587.68	(3,100,468.15)
Government Equity	1,518,872,692.15	1,334,090,574.68	184,782,117.47
Income	630,563,673.29	574,485,994.65	56,077,678.64
Expense	439,770,812.42	449,795,549.80	(10,024,737.38)
Appropriation	629,073,000.00	576,242,879.00	52,830,121.00
Obligation	484,967,171.32	501,956,570.31	(16,989,398.99)

The funds received by the LGU and transferred to other agencies and non-government and people's organizations for CY 2014 with comparative figures for CY 2013 are shown below:

	2014	2013	Increase/ Decrease
Funds Received from Other Agencies:			
NGAs	P17,848,530.90	P5,197,864.79	P12,650,666.11
LGUs	0.00	50,000.00	-50,000.00
NGOs/POs	0.00	900,000.00	-900,000.00
Others	5,890,750.00	2,271,500.00	3,619,250.00
Total	**P23,739,280.90**	**P8,419,364.79**	**P15,319,916.11**

	2014	2013	Increase/ Decrease
Funds Transferred to Other Agencies:			
NGAs	0.00	0.00	0.00
LGUs	0.00	0.00	0.00
NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
Total	0.00	0.00	0.00

C. Independent Auditor's Report on the Financial Statements:

The Auditor rendered a qualified opinion on the fairness of the presentation of the financial statements of the LGU-Tuguegarao City as of December 31, 2014 due to the following:

(1) inability of management to conduct physical inventory of its properties, excluding Construction in Progress accounts, with a net book value of P456,835,804.40 rendering the Property, Plant and Equipment (PPE) account doubtful;

(2) inability of management to conduct physical inventory of the Livestock Inventory and Other Agricultural, Fishery and Forestry Products Inventory in the amount of P1,721,859.00 and P43,140.00, respectively, the balances of which remained constant for more than ten years;

(3) non-settlement of cash advances totaling P5,843,066.11 as of year-end which affected the reliability of the assets, expenses and government equity accounts;

(4) delayed or non-preparation of monthly Bank Reconciliation Statements casting doubt as to the reliability of the Cash in Bank-Local Currency, Current Account balance of P285,178,015.55;

(5) reciprocal accounts-Due to Other Funds and Due from Other Funds was unreconciled by P1,213,769.49 rendering the validity and reliability of the balances of the accounts doubtful; and

(6)Accounts Payable and Due to Officers and Employees accounts are unreliable because some of the payees listed in the schedules for said accounts had negative balances which totaled (P936,198.75) and there were reconciling items in the Accounts Payable schedule in the amount of P108,940.00.

D. Summary of Significant Observations and Recommendations:

1. **The contractor in the construction of main drainage structure project should have been declared ineligible or disqualified because the NFCC computation submitted by them for the bidding is less than the Approved Budget of the Contract.**

We recommend that management require the concerned BAC and TWG members to refund the amount disbursed for the construction of main drainage structure because they are responsible for the erroneous award of the project to C.J.T. Pascual Construction. A Notice of Disallowance shall be issued for this purpose.

Moreover, management shall henceforth comply with the provisions of the Revised IRR of RA No. 9184 in the LGU's procurement activities to avoid disallowance.

2. **The contractor in the upgrading/improvement of slaughterhouse project should have been declared ineligible or disqualified because the 2013 Annual Income Tax Return and Audited Financial Statements submitted by them for the bidding were not "stamped received" by the Bureau of Internal Revenue or its duly accredited and authorized institutions.**

   We recommend that management require the concerned BAC and TWG members to refund the amount disbursed for the upgrading/improvement of slaughterhouse because they are responsible for the erroneous award of the project to DEC Construction. A Notice of Disallowance shall be issued for this purpose.

   Moreover, in the future, management strictly adhere to the provisions of the Revised IRR of RA No. 9184 in the procurement of infrastructure projects, goods and services to avoid disallowance in audit.

3. **The contractor in the road re-routing project should have been declared ineligible and disqualified because some of the bid documents submitted by them for the bidding appeared to have been submitted for a bidding in a NIA-CAR project and not for the bidding in the LGU project. Moreover, there were documents submitted by the contractor which do not bear the same signature as that appearing in his PRC ID and the other documents submitted.**

   We recommend that management require the concerned members of the BAC to refund the amount disbursed for the road re-routing project because they are responsible for the erroneous award of the project to CSD Engineering and Construction. A Notice of Disallowance shall be issued for this purpose.

4. **The unpaid interests accumulated and penalties/surcharges may be imposed against the LGU due to the non-payment of the required amortizations for its loan amounting to P25,663,005.00 with the Economic Support Fund Secretariat of the Office of the President since the date of its grant.**

   We recommend that management appropriate funds for the payment of the LGU's loan with the Economic Support Fund Secretariat, Office of the President, since the entire amount of loan is already due and demandable this 2015. Management may also request from the ESF Secretariat/Department of Finance for relief from the ESF loan together with the accumulated interests and surcharges/penalties.

5. **There was an irregularity in the disbursement of public funds amounting to P1,006,000.00 because other personnel benefits in the form of Performance Enhancement Incentive (PEI) granted to LGU funded teachers was charged against the Special Education Fund.**

   We recommend that management require the recipients of the PEI charged under SEF to refund the same. Otherwise, the persons determined liable for its payment shall be required to pay the same. A Notice of Disallowance shall be issued for this purpose.

   Moreover, the Local School Board shall henceforth limit the utilization of the SEF to the programs and projects defined under Section 272 of RA 7160 and DECS, DBM and DILG Joint Circular No. 01.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	*Beginning Balance*	*Issued During the Year*	*Settlement During the Year*	*Ending Balance*	*% of Settlement*
Suspensions:					
Prior Years	P1,029,222.39		P1,029,222.39	P 0.00	100.00%
Current Year		P11,095,414.93	6,381,066.97	4,714,347.96	57.51%
Total	**P1,029,222.39**	**P11,095,414.93**	**P7,410,289.36**	**P4,714,347.96**	**61.12%**
Disallowances:					
Prior Years	P815,830.18		P 19,650.00	P796,180.18	2.41%
Current Year		P282,689.13	90,180.96	192,508.17	31.90%
Total	**P815,830.18**	**P282,689.13**	**P109,830.96**	**P988,688.35**	**10.00%**
Charges:					
Prior Years	0.0	0.0	0.0	0.0	0.0
Current Year	0.0	0.0	0.0	0.0	0.0
Total	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**

F. Status of Implementation of Prior Years' Unimplemented Audit Recommendations:

Of the sixteen prior years' audit recommendations embodied in the 2013 Annual Audit Report four were fully implemented, one was partially implemented and eleven were not implemented.